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Unit I

Legal Framework of Regulations of Banks

Bank

1. Lending & Deposit Funds
2. Carry on any business as specified under Sec 6 of Banking Regulation Act

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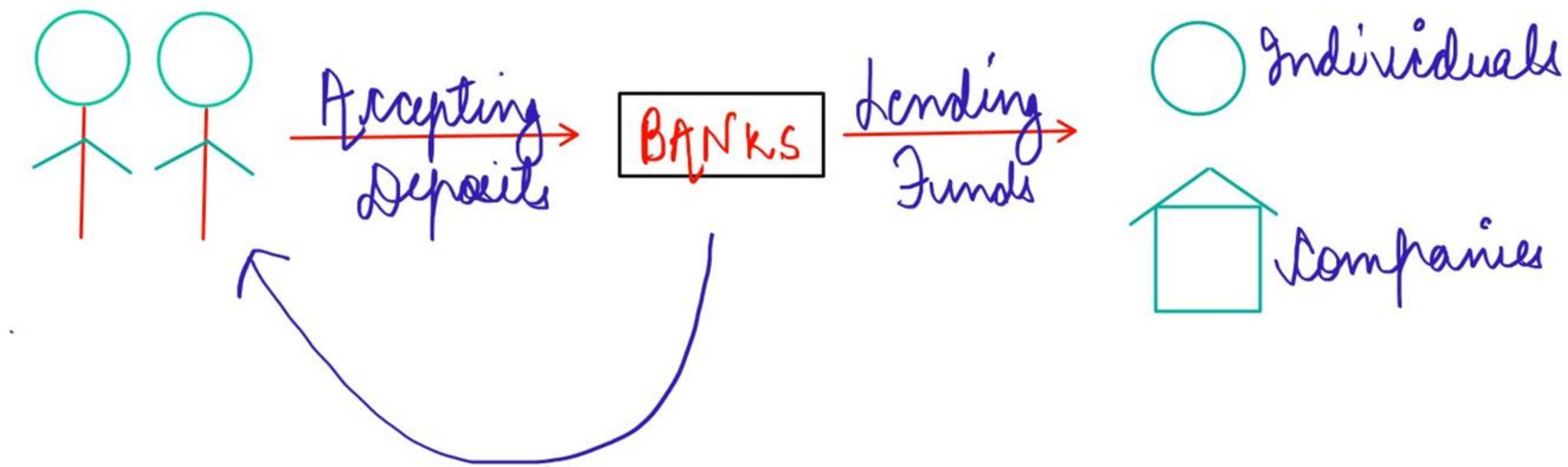

Constitution of Banks

- Banks in India fall under any of the following categories
  - Body corporate under special statute
  - Cos. Reg u/d Co Act, 2013 + Foreign Co.
  - Cooperative Soc. Reg u/d central/State enactment
- Public Sector Bank (Other than SBI)
- SBI
- RRB'S

Apex Bank

RBI

Came into existance through RBI Act, 1934

In force from 6th Mar, 1934

Regulate & issues Bank Notes

Primary Regulator of Banking sector

Also known as Central Bank of India

GOI → RBI through

Directly

Indirectly

controls Banks in India

Types of Banks
(SC^3)

- Specialized Banks
- Commercial Bank
  - Public
  - Private
- Cooperative Bank
- Central Bank

Unit 2 : Control over Org^n of Banks

Company → wanting to start → Banking Business → Application

↓

RBI (As it may think fit)

→ Satisfied → Approve license → A license once given can be cancelled after given opp. of being heard.

→ Not Satisfied → Reject license

Points to Note

1. 

Permission Required from RBI

- Open New branch
- Branch shift

2. Min Cap & Res to be maintained as BR Act

3. S/H → Dividend → only after all the capitalized Expenses are written off

4. Commission payable (Selling of Sh.) → Restricted to 2½ of NV of S

Board of Directors of Bank

To be constituted with & having specialised knowledge
- A/C
- Banking
- Eco
- Law etc

Max. Period → 8 Years continuously

RBI can reconstitute the Board, if not done properly

Full time chairman

Every banking Co. $\rightarrow$ FTCM (or FTMD) $\rightarrow$ specified Qual.

RBI $\xrightarrow{\text{can}}$ remove CM & Appoint a suitable ?

RBI can remove Director + Mang Personnel + Emp

Principle of 'Fit & Proper'

Unit 3: Regulations of Banking Bus.

BR Act $\xrightarrow{\text{ENPOWER}}$ RBI $\xrightarrow{\text{to}}$ ISSUE Directions to Bank. Co. in Public Interest

I

Sec 21

Issue of Directions to Regulate loans & Advances by Banking Co.

Regulating

- Purpose for lending
- Margin in sec loan
- Rate of Int.
- T&C of lending

II Sec 35A give general wide powers to issue directions

Note :

* RBI issues directions time to time u/s 21 (read with 35A) regulating Dep & lending.
* Under sec 21A, the rate of int on loans & Adv. contracted b/w a Bank & its customers is not liable to be opened in the court
* Sec 20 → Restriction → L & A to directors / Co. + firms where Directors are int.

$\boxed{\text{Sec 42}}$ → Banks to maintain CRR

RBI Act

↓

Failure to do so renders to

PENALTY

$\boxed{\text{Sec 18}}$ → CRR to be maintained for Non-Sch. Banking

BR Act

Banking Co.

$\boxed{\text{Sec 24}}$ → Certain % of their demand & time liabilities in liquid assets

BR Act

To be Maintained as

→ Notified by RBI

→ Maintained assets in India at not less than 75% of Dem & time liab AT THE CLOSE OF BUS. OF THE LAST FRIDAY OF EACH QUATER

Note: Banking Co. → $\boxed{\text{25\% of their Annual Profits in P/L A/C}}$ → Transfer to Reserve

Unit 4 : Returns, Inspection, Winding-up, Mergers & Acquisitions

'BANKS'

↓

Prepare B/S + P/L → Annually

- End of Cal. Year
- or
- End of 12 Months → As Notified by CG

Audit Reports & Doc

Bank Co. → A/C → Audited $\xrightarrow{\text{by}}$ Qualified Auditor

3 Copies

- B/S
- P/L
- Audited Report

Documents to be Submitted to

- RBI
- +
- Registrar of Companies

Note:

Banking co. have to furnish other returns like

Return on Maintanance of Cash Reserve

Maintanance of liquid Assets etc.

RBI

Authorised to Inspect / Conduct Scrutiny

Bank + Books

Sets up a Board

BOARD FOR FINANCIAL SUPERVISION

To supervise affairs of Banking Co.

Sends Report to CG in certain circumstance

CG

to

Acquire the undertakings of Banking Co.

If RBI sends application

↓ to

Central Government

↓ may

ORDER MORATORIUM to Banking Cos.

↓

During such period RBI may prepare SCHEME for

↓

AMALGAMATION → which may be sanctioned by CG

NOTE ← Such Amalgamation will have OVERRIDING EFFECT on any laws / Agreements etc

RBI

↓ may also

Apply to

High Court

↓ for

Winding up of B.Co.

↓

Not able to Pay off its Debts

+

Also in other CIRCUMSTANCES

Contraventions Consequences

RBI on Contravention may

Impose PENALTY

And
Or

Result into Imprisonment

If Proven Guilty

Unit 5 : Public Bank, Pvt. Bank, RRBs, Diff. Banks, Co-operative Banks & Local Area Banks

Banks → Est. u/d special STATUTES → STATUTORY CORPORATIONS or BODY CORPORATES → Like

* PSB, namely,
  - SBI
* RRB's (as subsidiaries of PSBs)

NOTE:

State Bank, as also Nationalised banks, are commercial banks engaged in the business of banking and other forms of business permissible for banking companies.

The regional rural banks are also commercial banks but operating in limited local areas to cater to rural industries, trade, farmers, artisans, etc.

Public Sector Banks

governed by

- Their respective
  - Statutes
  - Rules
  - Regulations
  - schemes
- Provisions of RBI
- Certain Provisions of BR Act, 1949
  - Sec 51

Co-Operative Banks

operating in

1 State

Reg. u/d State laws on Co-operative Socities

More than 1 state

Reg. u/d Multi-State Cooperative societies Act

+

BR Act, 1949 also App u/d Sec 56 with certain Modification

Note:

The constitution of the bank is governed by the co-operative laws, the business of banking undertaken by them is regulated by the Reserve Bank under the BR Act.

Pvt Sec Bank inc u/d Co. Act

Old ⊕ New

Imp Role in Intermediation of Funds

* Most of these 21 Banks have thrived through use of advanced technology, error free, quick and efficient customer service

Differentiated Banks

The RBI has since 2007 been encouraging setting up of Differentiated Banks with the aim to introduce Banks functioning in 'niche' areas focusing on limited services or functioning under a different regulatory dispensation. They may also be different on account of capital requirement, scope of activities or area of operations. There are many advantages in having such entities functioning as financial institutions.

Local Area Banks

There are 2 Local Area Banks operating in the country though their importance has become limited due to the regulator granting of licenses to certain differentiated banks such as small finance banks etc. having decided advantages as compared to the Local Area Banks.

Local area banks are referred to as small private banks with low-cost structures that provide financial services limited by the area of operation.

Unit 6 : Non-Banking Finanancial Companies

NBFCs

↓ have become

SYSTEMATICALLY IMPORTANT

↓ therefore

HIGHER REGULATORY FOCUS

↓ & Supervision

In 3 folds

- Depositor Protection
- Consumer Protection
- Financial Stability

Revised Scale Based Regulatory Structure

BASE (BL) LAYER

Base Layer (BL): The Base Layer would comprise of -

(a) Non-deposit taking NBFCs below the asset size of Rs. 1000 crore and

(b) NBFCs undertaking the following activities-

- NBFC-Peer to Peer Lending Platform (NBFC-P2P),
- NBFC-Account Aggregator (NBFC-AA),
- Non-Operative Financial Holding Company (NOFHC) and
- NBFCs not availing public funds* and not having any customer interface**

MIDDLE (ML) LAYER

Middle Layer (ML): The Middle Layer would consist of

(a) All deposit taking NBFCs (NBFC-Ds), irrespective of asset size,

(b) Non-deposit taking NBFCs with asset size of Rs. 1000 crore and above and

(c) NBFCs undertaking the following activities

- Standalone Primary Dealers (SPDs),
- Infrastructure Debt Fund - Non-Banking Financial Companies (IDF-NBFCs),
- Core Investment Companies (CICs),
- Housing Finance Companies (HFCs) and
- Infrastructure Finance Companies (NBFC-IFCs).

UPPER (UL) LAYER

Upper Layer (UL): The Upper Layer would comprise of those NBFCs which are specifically identified by the RBI as warranting enhanced regulatory requirement based on a set of parameters and scoring methodology as devised by them.

The top ten eligible NBFCs in terms of their asset size shall always reside in the upper layer, irrespective of any other factor.

TOP (TL) LAYER

Top Layer (TL): The Top Layer would ideally remain empty and may be populated if the RBI is of the opinion that there is a substantial increase in the potential systemic risk from specific NBFCs in the Upper Layer. Such NBFCs shall move to the Top Layer from the Upper Layer.

Some Important Pointers :

- **Independent Director** – Within the permissible limits in terms of Companies Act, 2013, an independent director shall not be on the Board of more than three NBFCs (NBFC-ML or NBFC-UL) at the same time.

- **Core Banking Solution** – NBFCs with 10 and more branches are mandated to adopt Core Banking Solution.

- The broad RBI guidelines as regards Bank Finance to NBFCs registered with RBI and those not registered have also been deliberated.

UNIT 7 : Financial Sector Legislative Reforms & Financial Stability & Development Council

1991 → LPG → Structural Reforms $\xrightarrow{\text{in}}$ Financial Sector $\xrightarrow{\text{inc.}}$ Banking Sector

Narsimham Committee-1

Chaired by: Shri M Narsimham, Former Governor, RBI

Implemented by the GOI/RBI

↓ also known as

Committee of Financial System

↓ was set up

To Examine all aspects relating to 'Structure, Org', Fun' & Procedures' of fin. system

Narsimham Committee-1 → Reviewed by GOI / ROI

resulted

Narsimham Committee-2

in 1998

gave recommendations for

Strengthening the Banking System

+

Improving the asset quality of Banks etc

Next Major Step

Financial Stability & Development Council (FSDC)

Set up by GOI

Dec 2010

Reason behind Formation of FSDC

This step was taken because in view of the concerns mainly on fragmentation of legislation, regulation enforcement, overlapping of the regulatory jurisdiction, risk legal arbitrage among different legislations, etc. a need was felt to rewrite and streamline the financial sector laws, rules and regulations and to bring them in harmony with the requirements of India's fast growing financial sector. The reforms introduced in various sectors including;

Banking Sector

(a) Competition enhancing measures
(b) Measures enhancing role of market forces
(c) Prudential measures
(d) Institutional and legal measures
(e) Supervisory measures
(f) Technology related measures.

Monetary Policy

Twin objectives of "maintaining price stability" and "ensuring availability of adequate credit to productive sectors of the economy to support growth" continue to govern the stance of monetary policy, though the relative emphasis on these objectives has varied depending on the importance of maintaining an appropriate balance;

Financial Market

Money Market Reforms
Govt. Securities Market
Capital Market

Forex Market

The process of economic reform in India embraced also the foreign exchange market. The measures of reform included, inter alia, adoption of managed floating exchange rate arrangement, rationalization of the structure of the market, introduction of variety of products, such as options and swaps, etc., gradual move towards the capital account convertibility and infusion of stability in the market, sometimes even

FSDC

The FSDC with the Finance Minister as the Chairman is an apex level forum to strengthen and institutionalize the mechanism for maintaining financial stability. It is for enhancing inter-regulatory coordination and promoting financial sector development in the country. There are different sections in FSDC as explained in the unit with varied functions.

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